

There are several other drivers of interest rates that are specific to particular types of bonds. Corporate bonds have a risk premium for credit risk. The spread between Treasury bonds and corporate bonds will increase or decrease with changes in economic conditions. Mortgages have prepayment risk. The yield of a mortgage fund will vary with the amount of prepayments that occur in the mortgage market.

One problem in forecasting interest rates is that it is nearly impossible to predict changes in inflation or changes in credit spreads. That is where the Federal Reserve can help. The Federal Reserve tends to have an acceptable range for inflation that appears to be between 2 and 3 percent. An amount over 4 percent causes concern among the Federal Reserve Board members, and this generally leads the Fed to increase interest rates.

CREATING A FORECAST

We have analyzed several drivers of market returns, including asset risk, cash payments from interest and dividends, earnings growth, and economic considerations. These data were used to create [Table 11-5](#). The 3 percent inflation rate was the average from 1980 to 2009. If the inflation rate is higher or lower, then the “With 3% inflation” column would be higher or lower as well.

[Table 11-5](#) represents this author’s conservative estimate of market returns over the next 30 years. There are no guarantees that any of these forecasts will be accurate. That being said, they are as good as any other market forecasts made using practical methods and done in a disciplined manner.

TABLE 11-5

Thirty-Year Estimates of Bonds, Stocks, and REITs Assuming 3 Percent Inflation